INTERCOMPANY MANAGEMENT SERVICES AGREEMENT

This Intercompany Management Services Agreement is executed, delivered and effective as of the "1st" day of "January", 2012 ("**Effective Date**").

BETWEEN:

Maple Leaf Foods Inc., a corporation incorporated under the laws of Canada, with offices located at 30 St. Clair Avenue West, Suite 1500, Toronto, Ontario M4V 3A2 (hereinafter "**MLF**")

- and -

Canada Bread Company, Limited, a corporation incorporated under the laws of Ontario, with offices located at 10 Four Seasons Place, 10th Floor, Etobicoke, Ontario M9B 6H7 (hereinafter "**CBY**")

WHEREAS, MLF currently owns or controls approximately ninety (90%) percent of the issued and outstanding common shares of CBY;

AND WHEREAS, since 1995 MLF has provided substantial management services to CBY (or its predecessor corporation, Corporate Foods Limited) to secure the benefits and efficiencies of administrative, business, management and financial infrastructure consolidation among MLF, CBY and other Affiliates of MLF (the "**Affiliation Agreement**");

AND WHEREAS, MLF and CBY wish to restate and replace the Affiliation Agreement with this Agreement as at the Effective Date;

AND WHEREAS, as at the Effective Date, CBY is satisfied with the scope, nature and quality of the management services that MLF has provided to CBY pursuant to the Affiliation Agreement, and wishes MLF to continue providing the management services to CBY that are set out and described in, and pursuant to the terms and conditions of, this Agreement;

NOW THEREFORE, in consideration of the mutual covenants and agreements contained herein, and other good and valuable consideration, the receipt and sufficiency of which are hereby acknowledged, MLF and CBY agree as follows:

ARTICLE 1

SERVICES

1.1 Provision of Services

1.1.1 Subject to the terms and conditions of this Agreement, MLF agrees to provide CBY with the management services and the services, undertakings and assistance

1.1.2 For greater certainty, the Services shall include:

(a) all undertakings, actions, procedures, practices, techniques, services, functions and responsibilities that are not expressly or specifically set out in this Agreement but which are inherent in, incidental to, necessary for, or a customary part or aspect of, the Services and that are reasonably required to be performed for the provision of the Services in accordance with this Agreement; and,

(b) the cooperation, assistance and services that are set out in section 2.5 concerning MLF's role, duties and responsibilities in facilitating the transition of all, or any part, of the Services to either CBY or to an alternative service provider(s) upon any termination of this Agreement ("**Termination Transition Assistance**").

1.2 Service Standards

1.2.1 **Professional Care.** Except as otherwise provided in the last sentence of section 1.2.8, the Services shall be performed by MLF with a reasonable professional standard and quality that is generally consistent with the standards which CBY would expect of its own employees. All personnel of MLF who perform any Services shall possess the skills and qualifications that are reasonably necessary to perform their respective duties and responsibilities, and shall be required by MLF to comply with MLF's Code of Business Conduct. Without limiting the foregoing, the quality timeliness, responsiveness and performance standards of the Services shall be no less than the quality, timeliness, responsiveness and standards of related services that MLF performs for its wholly owned businesses.

1.2.2 **Quality Assurance.** As a part of the Services, MLF shall provide and implement reasonable quality assurance processes and procedures to manage and facilitate its performance of this Agreement, including maintaining adequate supervision, monitoring performance and generating and maintenance of appropriate documentation relating to work product, including documentation relating to internal reporting controls.

1.2.3 **Service Records.** Any records concerning CBY's business created in the course of MLF providing the Services shall be maintained in a reasonably accurate, complete and accessible format and location, such records shall include all data, communications, reports, filings, documents, records, files, books, information and materials that are required to be maintained pursuant to Applicable Laws; and as a matter of reasonable, prudent, diligent and customary business, management and administrative practice and conduct ("**Service Records**").

1.2.4 **Non-performance**. MLF will require its employees to promptly report to their designated supervisors any errors or instances of non-performance of their duties in respect of the Services, and MLF will require such supervisors to report such errors or instances of non-performance to officers of CBY who shall report material errors or instances of non-performance to the CBY board of directors. MLF shall instruct its officers who are also officers of CBY to report material errors or instances of non-performance to the CBY board of directors but for clarity, MLF shall not be liable for any failure by any officer of CBY who is not an employee or officer of MLF to report material errors or instances of non-performance to the CBY board of directors.

1.2.5 **Failure Corrections.** If any employee of MLF materially fails to perform any Services in the manner that is required by this Agreement, upon becoming aware of such non-performance MLF shall promptly investigate the causes and impact of any such failure and MLF shall use its commercially reasonable efforts to correct such failure and to bring the performance of such Services into compliance with this Agreement as soon as reasonably possible.

1.2.6 **Business Continuity.** MLF acknowledges and confirms that CBY depends upon, and requires, the performance of the Services in order for CBY to carry on business and to comply with CBY's legal, regulatory, compliance, governance, commercial and financial obligations and duties. Accordingly, without limiting section 1.4 hereof, MLF shall use its commercially reasonable efforts to ensure that its performance and delivery of the Services shall not materially disrupt, delay, compromise, interfere with, detrimentally affect, or otherwise harm CBY's business operations, labour relations, commercial activities, manufacturing activities, and management activities, and not detrimentally affect CBY's ability to comply with Applicable Laws in the jurisdictions where CBY carries on business.

1.2.7 **CBY's Interests.** In recognition of the extensive and material nature and scope of the management, commercial, administrative, operational and financial services and obligations that are being performed by MLF for, and on behalf of, CBY pursuant to this Agreement, MLF agrees and acknowledges that MLF shall perform the Services in a manner, and to an extent, that reasonably considers and takes into account CBY's interests.

1.2.8 **Agency Authorization.** To the extent necessary for MLF to perform the Services, CBY hereby grants MLF with the authority and permission to act as CBY's agent strictly and only to the extent necessary for the limited and express purpose of MLF's performance of this Agreement including the Services. Such authorization shall permit MLF, but only where and to the extent necessary and required for MLF to perform specific Services for and on behalf of CBY, to represent, obligate, bind and commit CBY to commercial and legal obligations and duties with third parties, whether by indenture, contract, filing, application, retainer, or otherwise.

1.3 Compliance With Laws

MLF shall, in the course of performing this Agreement (including all Services), comply with all Applicable Laws in each jurisdiction in which MLF and CBY carry on business and in which this Agreement is performed.

1.4 Contingency and Disaster Recovery Plan

During the Term, MLF shall maintain (and implement when reasonably required to do so) a commercially reasonable business continuity, contingency and disaster recovery plan that MLF will undertake in the event of a natural disaster or other Force Majeure event ("**Contingency Plan**").

1.5 Location of Service Performance

Except as otherwise agreed to by CBY in writing, the Services shall, subject to Section 1.6, only be performed by MLF, and provided to CBY, within any or all of the jurisdictions where (from time to time during the Term) MLF carries on business or in those jurisdictions where an Outsourced Provider that has been approved by CBY pursuant to Section 1.6 provides Services.

1.6 No Outsourcing

Except as otherwise agreed to by CBY in writing (which, subject to CBY's best interests, shall not be unreasonably withheld or delayed), MLF shall not retain (or otherwise delegate or assign to) any other person, entity, service provider or enterprise (an "**Outsourced Provider**") to perform or provide all or substantially all of any of the Services, whether by way of an outsourcing, shared service, facility management, service bureau, application service provider, utility computing, software as a service, subcontractor, agency, data hosting, so-called "cloud computing" arrangement, or otherwise.

1.7 Service Continuous Improvements

MLF shall, throughout the Term, generally provide all new business, management, engineering, information systems, marketing, manufacturing, commercial and financial practices, techniques, systems, technology, processes, methods and infrastructure relevant to CBY's business that MLF may create, develop, acquire, implement or produce for MLF's own business, operations and enterprise from time to time. CBY confirms and agrees that any substantial or material improvements to the Services that MLF may propose during the Term may, at MLF's absolute discretion, be subject to Article 4 hereof, including MLF's proposed adjustments or amendments to the applicable Service Fees.

1.8 CBY Contributions

1.8.1 **CBY Contribution Obligations**. In addition to any other responsibilities provided elsewhere in this Agreement, CBY shall:

(i) reasonably assist, cooperate with and otherwise generally facilitate MLF's performance of the Services, including providing MLF with

all information, materials, access to premises, CBY corporate policies, and corporate information otherwise that are reasonably necessary for MLF to perform the Services;

(ii) be responsible for obtaining, at no cost to MLF and on a timely basis, consents for MLF's use of any third party goods, intellectual property or other products that CBY currently uses to perform any of the Services directly and internally, including, any such software for which CBY is the licensee and that is necessary for MLF to perform its obligations hereunder;

(iii) be responsible for the contractual relationship with third parties who are associated with the Services and whom with CBY has the only direct commercial or contractual relationship in connection with CBY's business, including CBY suppliers, and where such third parties have no contract relationship with MLF, including to ensure that such third parties reasonably cooperate with MLF in connection with MLF's performance of the Services; and,

(iv) in the event that any personnel is required to attend CBY's facilities or premises to perform Services, CBY shall supply all attending personnel with reasonably suitable office space, desks, storage, furniture, and other normal office equipment and support, adequate computer resources, telephone and facsimile service, postage, copying, word processing, and general office supplies that are necessary for such personnel to perform the Services

(all collectively, "**CBY Contributions**").

1.8.2 CBY acknowledges and confirms that MLF's performance of this Agreement may be dependent on CBY's: (i) timely performance of CBY Contributions pursuant to this Agreement; (ii) provision of accurate and complete information with respect to the Services; and, (iii) the provision of reasonable assistance and cooperation, including without limitation the provision of timely decisions and approvals by CBY. MLF shall be entitled to rely on all written decisions and written approvals by authorized representatives of CBY that are made in connection with the Services.

1.8.3 MLF shall not be responsible for, have any liability concerning or otherwise have any compensatory obligations to CBY, in the event, but only to the extent that, any breach of this Agreement by MLF was directly caused or contributed to by any material failure of CBY to provide MLF with a CBY Contribution pursuant to, and as required by, this section 1.8.

1.8.4 Any failure or deficiency of CBY to provide or perform all or any part of CBY Contributions shall not, in any manner or to any extent whatsoever, constitute any breach of this Agreement or other duty and that (except as set out in section 1.8.3)

any such failure by CBY shall not give rise to any liability of CBY, or to any relief, remedy, compensation right, cause of action, claim, or other entitlement against CBY by MLF.

1.9 CBY Premise Policies

In the event that any MLF personnel physically attend any site, location, premises or facility of CBY in connection with this Agreement, MLF agrees that such personnel shall fully comply and adhere to any CBY workplace security, applicable labour collective agreement, safety, health, environmental and individual safety conduct rules, polices, and requirements of CBY from time to time.

1.10 Service Audit Rights

1.10.1 CBY shall, either directly or with the assistance of a third party representative appointed by CBY, have the right, subject to this section 1.10, to inspect, audit, verify and assess the performance of the Services and the adequacy of the Service Records in any jurisdiction where Services are performed or the Service Records are maintained.

1.10.2 Subject to this section 1.10, upon reasonable prior written notice from CBY, MLF shall provide CBY, and /or its designated representatives, with access to all Service Records and other information, records, data, files, financial information, books, reports, communications, all information technology and data systems that are used to provide any Service, and all other documents and materials (in any form or format), and access to the employees of MLF providing the Services, during normal business hours. Such audit and inspection activities shall not interfere with or disrupt either MLF's ordinary course of business nor with MLF's performance of the Services. CBY, and/or its authorized representatives, shall have the right to make copies of, or take extracts of, and to create notes concerning, any of the foregoing things for the purposes of this section 1.10.

1.10.3 Notwithstanding any other provision of this Agreement, and for greater certainty, the audit rights in this section 1.10 shall not entitle CBY to have access to, audit, inspect, or otherwise secure any information concerning MLF's business, operations, finances, or other matters that are not directly related to the Services and this Agreement, including any other commercial transaction or agreement that is not related to this Agreement.

1.10.4 In connection with any litigation, claim, demand, audit, inspection, Governmental Authority investigation or enquiry, or other third party demand or request to CBY for any records, information, communications, materials, files, documents or other things about or concerning CBY and/or CBY's business or management affairs that are in MLF's possession or control in any connection with this Agreement, upon CBY's written request MLF will reasonably assist, cooperate with and work with CBY (or such Governmental Authority) to identify, locate, produce, deliver, and otherwise allow access to, discovery of, and/or disclosure of such

information, records or things in a form, medium, format and manifestation that CBY may reasonably direct and that, when produced and delivered by MLF, shall be accurate, complete and reliable.

ARTICLE 2

TERM AND TERMINATION

2.1 Term

This Agreement will commence on the Effective Date and, unless terminated earlier in accordance with the terms of this Agreement, will continue thereafter indefinitely unless either party terminates this Agreement (for any reason and in their respective sole and absolute discretion): (i) upon six (6) months prior written notice to the other party or (ii) in accordance with Section 2.2 or (iii) six (6) months after the commencment of any fiscal year if CBY and MLF shall not have then agreed to the Services and Service Fees for that fiscal year or if the CBY Annual Budget shall not have then been approved by the audit committee of CBY for that fiscal year, in each case as contemplated by Section 4.1 or (iv) in accordance with Section 10.1 (such period from the Effective Date to the effective date of termination, the "**Term**"). Upon any termination or expiration of this Agreement, CBY shall pay MLF the Service Fees that are then due and owing for all Services rendered and expenses incurred, by MLF in accordance with this Agreement.

2.2 Bankruptcy

Either party may terminate this Agreement with immediate effect if the other party makes a general assignment for the benefit of creditors or a proposal or arrangement under any applicable bankruptcy or insolvency legislation, if a petition is filed against such other party under any applicable bankruptcy or insolvency legislation, if such other party shall be declared or adjudicated bankrupt, or if a liquidator, trustee in bankruptcy, custodian, receiver, receiver and manager or any other officer with similar powers shall be appointed of or for such other party or its assets.

2.3 Effects of Termination

In the event this Agreement terminates for any reason whatsoever, then: (i) the rights or privileges granted by one party to the other shall immediately cease upon date of termination (except as set forth in this section); (ii) CBY shall have the right to require MLF, after the Term, to provide CBY access to, and CBY's ability to transfer, all of CBY Property to itself or to another person for a commercially reasonable period of time (at least sixty (60) days), provided that CBY notifies MLF in writing of such request; (iii) after MLF has transferred possession of all of its CBY Property as directed by CBY, MLF will no longer utilize any CBY Property which remains in MLF’s possession; (iv) upon CBY's request, MLF will promptly use commercially reasonable efforts to destroy all other CBY Property as CBY may direct; and, (v) CBY shall have the rights provided in sections 1.1.2(b) and 2.5 hereof.

2.4 MLF Certificate

Upon CBY's written request after the completion of the activities of MLF set out in section 2.3 hereof, an executive officer of MLF shall certify on behalf of MLF, in writing, to CBY that MLF is not in any possession of (or otherwise has any control over) any part, form, aspect or manifestation of any CBY Property or any other CBY data, records, communications, information or property in connection with this Agreement.

2.5 Termination Transition Assistance

2.5.1 In the event that this Agreement terminates for any reason whatsoever (including expiration or termination by either party as of right or for cause, or otherwise), MLF shall promptly at the reasonable request of CBY, provide the following termination assistance:

(a) cooperate and assist CBY in its preparation of a termination and transition plan for the transition of the Services to either CBY or CBY's designated third party supplier or both (each a "**Successor**");

(b) cooperate and assist Successor to facilitate the transition of the Services pursuant to the termination and transition plan contemplated by section 2.5.1(a), including allowing access to the then current version of CBY Property, and all other applicable personnel, records, information, Service delivery know-how, software, equipment and any applicable third party contracts;

(c) providing guidance for, and answers to, all reasonable questions from a Successor concerning the Services, including any questions relating to any underlying business systems, processes and procedures employed by MLF to perform the Services; and,

(d) any other reasonable assistance as may be requested by either CBY or Successor on an "as required" basis.

2.5.2 CBY agrees to compensate MLF for any Termination Transition Assistance provided by MLF on commercially reasonable terms and conditions that are generally consistent with similar services that are provided at fair market value in Canada on a "time and materials" basis, or that are otherwise agreed to in writing by the parties.

2.6 CBY Rights Upon Termination

2.6.1 CBY may offer employment to those employees of MLF who have been Dedicated to the provision of Services to CBY under this Agreement ("**Dedicated Employees**") during the one hundred and eighty (180) day period prior to the designated termination date of this Agreement. Such offers of employment shall be made not less than sixty (60) days before the end of the Termination Transition Assistance period (or any extension thereof) but will not be effective until such

time as the Dedicated Employees are no longer required by MLF, acting reasonably, for the purpose of providing Services to CBY under this Agreement. MLF shall do all such reasonable acts and things as are necessary to facilitate the orderly transition of employees who receive an offer of employment from CBY, including waiving any contractual restrictions that would prevent the employees accepting offers of employment from CBY (excluding the waiver of any contractual restrictions imposed on the Dedicated Employee by MLF relating to protection of MLF's confidential information). CBY will co-operate, where reasonable, to treat the transition of Dedicated Employees from MLF to CBY as "continuation of employment" for employment law purposes. MLF shall provide CBY and its representatives with reasonable access to those employees in respect of whom CBY has the right to make an offer of employment for the purposes of interviews, evaluations, and recruitment.

2.6.2 A Successor may, at CBY's option exercisable at any time during the Termination Assistance Period, purchase or assume, as the case may be, the licenses, leases or contracts for any or all:

(a) software;

(b) hardware, goods or equipment; and,

(c) third party contracts providing for service or support of any software or equipment;

that, during the one hundred and eighty (180) day period prior to the designated date of termination of this Agreement, are Dedicated software, Dedicated equipment or Dedicated third party contracts (provided that such software that is licensed by MLF under an enterprise or corporate license agreement does not prohibit the assignment or transfer of such software for the purposes of this Section).

ARTICLE 3

PAYMENT FOR SERVICES AND EXPENSES

3.1 Service Fees

The fees (the "**Service Fees**") that MLF shall charge CBY for its provision of the Services in respect of any fiscal year shall be calculated using the principles outlined in Schedule C and as set forth in the CBY Annual Budget (as defined below) for any particular fiscal year. All Service Fees shall be billed to CBY in Canadian currency. At the request of CBY, MLF may bill a portion of the Service Fees to a business unit of CBY in the local currency of the business unit. All Service Fees determined under this Agreement shall, in all cases, be calculated on a not-for-profit basis to MLF. Without limiting the generality of the foregoing, all Service Fees shall be established between MLF and CBY on a cost recovery basis for MLF, using a fair and

reasonable cost allocation methodology, and as more particularly described on Schedule C hereto. For the purposes of Schedule C and this Section 3.1, the term "cost" shall be interpreted, and related cost allocations and calculations shall be undertaken, in a manner that is generally consistent with the accounting principles used by CBY in the preparation of its financial statements generally.

3.2 Billing

Except as otherwise stated in Schedule C, MLF shall invoice CBY monthly in arrears and CBY will pay the amounts payable to MLF hereunder within thirty (30) days of receipt of invoices submitted by MLF for the Services.

3.3 Pass-through Expenses and Retained Expenses

CBY will pay to MLF all third party expenses that are incurred by MLF in connection with the provision of the Services at their face amount, without mark-up or increase (the "**Expenses**"). MLF will provide CBY with accurate, complete and current information necessary to permit CBY to pay all Expenses, and CBY will provide MLF written confirmation of payment. In the event that CBY does not pay MLF the Expenses as and when required hereunder, MLF has the right to make such payments and CBY will promptly reimburse MLF for those payments.

3.4 Taxes

3.4.1 **Taxes**. CBY shall pay for sales, use, excise, value-added (VAT), goods and services, consumption, and other similar taxes imposed on any Service Fee pursuant to this Agreement. CBY shall be liable for all such taxes applicable for the Services provided under this Agreement. MLF shall separately state, where applicable, such taxes on the invoice. MLF shall use commercially reasonable efforts to notify CBY in advance of any such applicable taxes. MLF shall not charge such taxes if CBY provides an appropriate exemption certificate. In the event that MLF does not charge such taxes on the basis that CBY has provided an exemption certificate and the tax authorities subsequently opine that MLF should have charged such taxes, CBY shall pay such taxes as required by the authorities. CBY shall also bear all interests, levies and penalties if transaction taxes have not been charged on the basis of the exemption certificate provided by CBY. MLF shall pay all such taxes collected from CBY to the appropriate taxing authority and shall indemnify CBY for any amounts paid by CBY directly to a taxing authority as a result of MLF's failure to pay any taxes collected from CBY. CBY agrees to reimburse MLF for any deficiency (including penalties and interest) relating to such taxes that are the responsibility of CBY under this paragraph. Except as expressly provided otherwise herein, each party shall be responsible for taxes based on its own net income, employment taxes of its own employees and for taxes on any property it owns or leases.

3.4.2 **Withholding Taxes**. In the event that CBY is required by any Canadian law, regulation, governmental policy, ruling, order or judgment of a governmental body or Canadian Court of competent jurisdiction to deduct and remit any

withholding taxes from any Service Fees or other amounts payable under this Agreement to MLF, then CBY shall fully and promptly comply with such law, regulation, policy, order or judgment as the case may be, and the remainder (unremitted portion) of the Service Fees shall be paid to MLF in full and absolute satisfaction of CBY's financial obligations with respect to such Service Fees or other amounts payable under this Agreement. At any time, if CBY determines that Canadian withholding tax applies to the payment of Service Fees to MLF, CBY shall provide reasonably prompt written notification to MLF of same, which shall include a general explanation as to why CBY has made such determination.

ARTICLE 4

BUDGETING PROCESS

4.1 Budgeting Process

At least once annually, CBY shall require MLF to prepare a budget (the "**CBY Annual Budget**") that reflects and responds to CBY's expectations concerning the exact nature of the Services that CBY will require for the next succeeding fiscal year (which may include services not enumerated on Schedule B hereto or which may omit services identified on Schedule B), expected volumes, staffing and the proposed Service Fees to be charged for that fiscal year determined in accordance with the principles outlined in Schedule C. Upon receipt of such CBY Annual Budget, CBY and MLF shall discuss its contents and use their commercially reasonable efforts to agree to the Services and Service Fees for the next succeeding fiscal year. The CBY Annual Budget shall then be submitted to the audit committee of CBY for review, consideration and either approval or rejection. Upon approval of the CBY Annual Budget by the audit committee of CBY, the CBY Annual Budget shall form the basis for the Services to be provided by MLF hereunder and the Service Fees to be charged by MLF for that fiscal year. Until the CBY Annual Budget is approved in respect of the next succeeding fiscal year or the Agreement is terminated pursuant to Section 2.1(iii), the Services being provided and the Service Fees being charged by MLF shall continue unchanged from that approved in the previous CBY Annual Budget, unless otherwise agreed (it being recognized that upon approval of the CBY Annual Budget in respect of that fiscal year, the Service Fees to be charged for that fiscal year will be modified, as applicable, retroactively to the beginning of that fiscal year).

ARTICLE 5

PROPRIETARY RIGHTS

5.1 CBY Property

5.1.1 **CBY Property**. CBY shall solely and exclusively own all right, title and interest to the following:

(i) all CBY Confidential Information;

(ii) all of the Service Records, except for such portions Service Records include information relating to MLF's business practices;

(iii) all formulas, recipes and processes solely relating to products manufactured by CBY;

(iv) all goods, materials, communications, data, documents, records, financial statements, CBY supplier and customer information, intellectual property and other things (whether tangible or intangible) that either CBY may create, provide, deliver, supply, produce or permit MLF to use in any connection with this Agreement or that MLF may produce, create or author solely for, and on behalf of, CBY specifically pursuant to or in accordance with any Service (collectively, (i), (ii), (iii) and (iv), "**CBY Property**").

For greater certainty, in the event of, and upon, any termination of this Agreement for any reason or cause whatsoever, MLF shall not misappropriate, use or otherwise exploit any CBY Property for any purpose whatsoever (except for the purpose of section 2.5.1) without the express prior written agreement of CBY, which may be withheld by CBY in its sole and absolute discretion.

5.1.2 **Third Party Property**. Without limiting CBY's obligations to provide CBY Contributions, CBY agrees that MLF's performance of the Services may require and be subject to MLF's use of certain goods, software or other materials that is owned by, or licensed to, CBY by third parties ("**Third Party Property**"). CBY shall use its commercially reasonable efforts to obtain, on a timely basis, any consent necessary for MLF to use any such Third Party Property that is necessary and required for MLF to perform the Services. For greater certainty, all other third party property, goods, products, services, equipment, technology or materials whatsoever that MLF requires, or otherwise desires, to perform the Services shall be MLF's sole and exclusive duty and responsibility to identify, procure and maintain. Any costs to CBY that are associated with such efforts by CBY shall be at CBY's sole cost and expense, and shall be considered a CBY Contribution. MLF will fully comply with all limitations, qualifications, conditions, and restrictions that CBY may impose on MLF's use of any such Third Party Property that are disclosed to MLF in writing.

5.1.3 **CBY License to MLF**. CBY hereby grants MLF a non-exclusive, personal, non-transferable, and royalty-free license to use CBY Property during the Term to the extent same is required and necessary for the sole purpose of MLF performing the Services in accordance with this Agreement. In the event that MLF reasonably determines that any derivative, adaptation, modification, enhancement or improvement to any part of CBY Property is required and necessary for MLF to perform any Service, any such derivatives, adaptations, modifications,

enhancements or improvements to CBY Property that may be created or authored by MLF shall be CBY Property.

5.2 MLF Property

MLF shall solely and exclusively own all right, title and interest in any things, goods, products, intellectual property, systems, process, techniques, methods, know-how, innovations, concepts, ideas, software, hardware, or other materials that are: (i) owned by MLF before the Effective Date; (ii) developed by MLF other than pursuant to this Agreement; (iii) licensed by MLF from a third party, including any such items used by MLF to provide the Services to CBY; and, (iv) that are not CBY Property, shall be deemed to be the sole and exclusive property of MLF (collectively referred to herein as the "**MLF Property**"). MLF retains responsibility for all third party obligations (contractual and otherwise) with respect to all such MLF Property.

ARTICLE 6

CONFIDENTIAL INFORMATION

During the Term, each party acknowledges and confirms that it may have access to information (in hardcopy and/or electronic form) that relates to the other party, including past, present, and future research, pricing, technology, development, business activities, products, services, and technical knowledge that a reasonable business person would consider as being commercially important and/or confidential ("**Confidential Information**"). For greater certainty, all CBY Property shall be, and is hereby deemed to be, CBY's Confidential Information subject to section 6.4, and all MLF Property shall be, and is hereby deemed to be, MLF's Confidential Information subject to section 6.4.

6.1 Use and Nondisclosure

The Confidential Information of the discloser may be used by the receiver only in connection with and for the purpose of this Agreement and may only be stored, communicated, copied or reproduced to the extent reasonably necessary for the receiver to perform its obligations under this Agreement.

6.2 Protection

Each party agrees to both use their commercially reasonable efforts and to comply with section 1.2.1, to keep secure and protect the confidentiality of the Confidential Information of the other party from disclosure. Without limiting the foregoing, each party: (i) shall not disclose the Confidential Information of the other party to any third party except that a receiving party may disclose Confidential Information of the other party to contractors or agents of the receiving party, provided that each such contractor or agent shall agree to keep such Confidential Information confidential on terms substantially similar to this Agreement; (ii) shall only disclose such Confidential Information to those of its employees who need to know such information in order to provide the Services; and (iii) shall protect and keep confidential the other party's Confidential Information in the same manner that it protects the confidentiality and security of its

own proprietary and confidential information of a similar nature. For clarity, nothing shall restrict MLF from disclosing Confidential Information of CBY to employees of MLF's Affiliates (other than CBY) if those employees need to know such Confidential Information for purposes of providing the Services.

6.3 Return

All copies of Confidential Information that are in the possession or under the control of a receiving party, shall be returned or destroyed upon the first to occur of: (i) any termination of this Agreement or, (ii) at the request by the discloser, unless the receiver is otherwise allowed to retain such Confidential Information.

6.4 Exceptions

Nothing in this Agreement shall prohibit or limit either party's use of Confidential Information that was: (i) previously known to it outside the context of this Agreement and without an obligation of confidence; (ii) independently developed by or for it outside the context of this Agreement; (iii) acquired by it from a third party which is not under an obligation of confidence with respect to such information; or, (iv) which is or becomes publicly available through no breach of this Agreement or either party's confidentiality obligations to the other party (whether contractual or otherwise).

6.5 Protection of Personal Information

Without limiting section 1.3 hereof, MLF agrees and acknowledges that all personal information related to the Services, and related to CBY's business and operations is both CBY Confidential Information and subject to Data Protection Legislation. MLF shall perform its obligations under this Agreement in accordance with all applicable Data Protection Legislation, including duties of security therein.

ARTICLE 7

REPRESENTATIONS, WARRANTIES, AND ADDITIONAL COVENANTS

7.1 Mutual Warranties

Each party represents, warrants and covenants to the other party that:

(i) it has obtained, and shall at all times during the Term maintain in good standing, all permits, authorization(s), consents and licenses that are necessary for it to fully perform its obligations under this Agreement;

(ii) it has the right to execute this Agreement and conduct itself in accordance with this Agreement's terms and conditions;

(iii) the execution and performance of the Agreement are within its corporate powers, have been duly authorized by all necessary corporate action, do not conflict with any right or interest of another person (whether contractual, equitable, statutory or otherwise), do not require (or are conditional upon) any consent of or filing (except as may be required by applicable securities laws) with any third party or governmental body or agency, and do not violate any Applicable Law, or its charter or by-laws;

(iv) the execution, delivery and performance of this Agreement by it will not, in any manner or to any extent, contravene, breach, interfere with, conflict with, limit, restrict, or otherwise detrimentally affect, the intellectual property or confidentiality rights or entitlements of any other person; and,

(v) there is no claim, demand, allegations, dispute, or any litigation, proceeding, arbitration, investigation now commenced, made or pending by any person or Governmental Authority to which it is a party, that, in any way (directly or indirectly) relates to the provision of the Services, or which would have an adverse effect on its ability to perform its obligations thereunder and, to the best of its knowledge and belief (after due enquiry), no such claim, demand, allegations, dispute, litigation, proceeding, arbitration or investigation has been threatened or is contemplated by any person or Governmental Authority.

7.2 Service Warranty

MLF hereby represents, warrants, covenants to CBY that the Services shall be substantially and materially performed in the manner, and to the extent, that is stipulated in and required by this Agreement, including all specifications, service levels and operational stipulations set out herein.

ARTICLE 8

INDEMNIFICATION

8.1 CBY's Indemnity

CBY hereby indemnifies, defends, and holds harmless MLF from and against all liabilities, damages, and costs (including settlement amounts, settlement costs and reasonable attorneys' fees) arising out of a third party claim: (i) regarding the extent to which CBY Property that CBY has created and provided to MLF infringes a third party's intellectual property or confidentiality right; (ii) regarding any failure of CBY to comply with Applicable Laws to the extent same is not caused or contributed to by MLF; and (iii) regarding any criminal offence, fraud, or willful misconduct by CBY against MLF (to the extent same has not been caused or contributed to by MLF). Notwithstanding the foregoing, in no event shall CBY have any obligations or liability

under this section 8.1 to the extent same arises directly as a result of: (i) use of any CBY Property in combination with goods or services that are not furnished by CBY; and, (ii) any content, information or data provided by MLF or other third parties.

8.2 MLF's Indemnity

8.2.1 Indemnification. MLF hereby indemnifies, defends, and holds harmless CBY from and against all liabilities, damages, and costs (including settlement costs and reasonable attorneys' fees) arising out of, or in connection with: (i) a third party claim of CBY's use of the Services, or where (and to the extent) MLF's provision of the Services infringes a third party's intellectual property or confidentiality right; (ii) any breach by MLF of either sections 1.3 or Article 6 hereof; and, (iii) for any fraud, criminal conduct, gross negligence, malfeasant or other willful misconduct, by MLF. Notwithstanding the foregoing, in no event shall MLF have any obligations or liability under this section 8.2 to the extent same arises directly as a result of: (i) use of any Services in combination with goods or services that are not furnished by MLF; and, (ii) any content, information or data provided by CBY or other third parties.

8.2.2 General. The party seeking indemnification will promptly notify the other party of the claim and cooperate with the other party in defending the claim. The indemnifying party has full control and authority over the defense, except that: (a) any settlement requiring the party seeking indemnification to admit liability or to pay any money will require that party's prior written consent, such consent not to be unreasonably withheld or delayed; and (b) the other party may join in the defense with its own counsel at its own expense. THE INDEMNITIES IN SECTIONS 8.1 and 8.2 ARE A PARTY'S ONLY REMEDY UNDER THIS AGREEMENT FOR A BREACH BY THE OTHER PARTY OF THIS AGREEMENT.

8.3 Insurance

MLF shall maintain the following types and limits of insurance:

(a) Commercial General Liability Insurance including tenants legal liability insurance with limits of at least $10 million per occurrence and $10 million in the aggregate, protecting CBY against third party claims in respect to the Services provided by MLF;

(b) All risks Property insurance covering buildings, equipment and all other property used by MLF in providing the Services; and,

(c) Such other insurance as is prudent for a company operating in the food industry.

MLF agrees that it shall name CBY as an additional insured or co-loss payee under the above-noted policies but only to the extent of CBY's interest under this Agreement. Upon the request of

CBY, MLF will provide certificates of insurance as evidence that such required insurance has been obtained by MLF.

ARTICLE 9

DISPUTE RESOLUTION

In the event of any material dispute, disagreement, or claim ("**Dispute**") between the parties, the parties agree to use their commercially reasonable efforts (acting in good faith) to first resolve the Dispute internally by escalating such Dispute to the attention and conduct of their respective senior executives for prompt consideration and resolution. In the event any Dispute remains unresolved for a period of ninety (90) days after the date such Dispute was escalated to the respective senior executives of each party pursuant to this Article 9, the Dispute shall be submitted for resolution to existing committees or special committees appointed by MLF and by the board of directors of CBY to resolve the Dispute. Such committee may include officers, directors, advisors, consultants or other persons which MLF and the board of directors of CBY may, in their discretion, appoint.

ARTICLE 10

GENERAL PROVISIONS

10.1 Force Majeure

Neither party shall be liable for its failure or delay in fulfilling its obligations under this Agreement, if such failure or delay is caused by fire, flood, weather conditions or other acts of God, invasions, riots, closing of public highways, strike, lockout or other labor dispute, civil unrest, war, acts of terrorism or any circumstance beyond the reasonable control of the party ("**Force Majeure**"), provided that in the case of MLF's performance being prevented by a Force Majeure, it continues to exert reasonable efforts to perform notwithstanding the Force Majeure. If the Service interruption caused by the Force Majeure event continues in that circumstance beyond four (4) weeks, either party shall have the right to terminate this Agreement by giving the other party at least ten (10) days prior written notice. To be effective, such notice must be delivered during the Force Majeure event.

10.2 Further Assurances

The parties shall cooperate with each other and execute such other documents, agreements, registrations, filings and notices as may be necessary or appropriate to achieve the objectives of this section.

10.3 Assignment of Agreement

Neither party shall transfer or assign all, or any part of, this Agreement without the prior written consent of the other party, which consent may be unreasonably withheld.

10.4 Enurement

This Agreement shall enure to the benefit of and be binding upon the parties and their respective successors and permitted assigns.

10.5 Notice

All notices and other communications pertaining to this Agreement shall be in writing and shall be deemed to have been given by a party hereto: if personally delivered to the other party by professional courier service or otherwise upon receipt; if sent by facsimile, upon receipt of confirmation of successful transmission from the sending machine (but subject to a copy also being concurrently sent by another form of communications as set out herein); and if sent by a registered mail where return receipt requested and postage is prepaid on the third (3rd) Business Day after the mailing date. All notices or communications between CBY and MLF pertaining to this Agreement shall be addressed to:

If to: MLF

Maple Leaf Foods Inc.
30 St. Clair Avenue West, Suite 1500
Toronto, Ontario M4V 3A2

Attention: Rocco Cappuccitti
Senior Vice President, Transactions and Administration and
Corporate Secretary

Telephone: (416) 926-2033
Email: rocco.cappuccitti@mapleleaf.com

If to: CBY:

Canada Bread Company, Limited
10 Four Seasons Place, 10th Floor,
Etobicoke, Ontario M9B 6H7

Attention: Chair, Audit Committee
CBY Board of Directors

10.6 Survival

In the event of the termination or expiration of this Agreement, the provisions of Article 2, Article 6, Article 8, Section 10.5, Section 10.6 and any obligation of CBY to pay the Service Fees in respect of Services performed by MLF prior to the effective date of termination of this Agreement and those provisions of this Agreement which, by their nature shall survive such termination, shall survive any expiration or termination of this Agreement and shall remain in full force and effect, until such time as the parties mutually agree to the termination thereof.

10.7 Not Joint Employer

Except as otherwise expressly herein provided concerning MLF's agency, nothing in this Agreement shall be inferred, deemed or construed to create an employment, joint venture, partnership, fiduciary or other agency relationship between the parties for any purpose. Each party agrees and confirms that they have entered into this Agreement as independent contractors.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the Effective Date.

MAPLE LEAF FOODS INC.

By: "Rocco Cappuccitti"
(Authorized Signature)

Name: "Rocco Cappuccitti"
(Printed or Typed)

Title: "Senior Vice President Transactions & Administration and Corporate Secretary"
(Printed or Typed)

Date: "May 9, 2012"

By: "Michael H. Vels"
(Authorized Signature)

Name: "Michael H. Vels"
(Printed or Typed)

Title: "Chief Financial Officer"
(Printed or Typed)

Date: "May 9, 2012"

CANADA BREAD COMPANY, LIMITED

By: "John F. Petch"
(Authorized Signature)

Name: "John F. Petch"
(Printed or Typed)

Title: "Director"
(Printed or Typed)

Date: "May 9, 2012"

SCHEDULE A

INTERPRETATION PROVISIONS

1.1 Interpretation

1.1.1 **Governing Law.** This Agreement, and any dispute arising from the relationship between the parties to this Agreement, shall be exclusively governed by the laws of the Province of Ontario and the Federal laws of Canada applicable therein, excluding any conflicts of laws that direct the application of another jurisdiction's laws to this Agreement. The parties hereby acknowledge and agree that the United Nations Convention on Contracts for the International Sales of Good shall not apply to or govern this Agreement.

1.1.2 **Complete Agreement.** This Agreement, together with the Schedules, sets forth the entire agreement and understanding between the parties and supersedes all prior agreements, conditions, warranties, representations, arrangements and communications, whether oral or written, with respect to the subject matter of this Agreement. Each party acknowledges that it is entering into this Agreement solely on the basis of the agreements and other provisions contained herein, and that (except as otherwise set out herein) it has not relied upon any representations, warranties, promises, or inducements of any kind, whether oral or written, and from any source.

1.1.3 **Amendment or Waiver.** Except as otherwise provided in this Agreement, no amendment to this Agreement shall be binding on either MLF or CBY unless it is agreed to in writing and signed by an authorized representative of CBY and MLF. It is acknowledged by both parties, however, that the Services and Service Fees may be modified from time to time during the Term in accordance with the procedures outlined in Article 3 and Article 4 without requiring an amendment to this Agreement, unless the Services or the principles upon which the Service Fees are calculated are changed materially in which case MLF and CBY shall amend this Agreement to reflect such changes.

1.1.4 **Currency.** All dollar amounts referred to in this Agreement are expressed in the currency of Canada.

1.1.5 **Extended Definitions.** The parties agree to the following Agreement interpretation terms and conditions:

(a) words importing the singular number include the plural and vice versa and words importing gender include all genders in this Agreement;

(b) the word "including" when used herein is not intended to be exclusive and in all cases means "including without limitation";

(c) reference to any Laws shall be deemed to be a reference to such statute or regulation or bylaw as amended, re-enacted or replaced from time to time, unless otherwise agreed to herein; and,

(d) time periods within which a payment is to be made or any other action is to be taken hereunder shall be calculated excluding the day on which the period commences, but including the day on which the period ends.

1.1.6 **Meaning of Terms.** All terms defined in the main body of this Agreement shall have the meaning therein ascribed.

1.1.7 **Headings.** The division of this Agreement into sections and the insertion of headings are for convenient reference only, and shall not affect either the construction or the interpretation of this Agreement. The terms "hereof", "hereunder" and similar expressions refer to this Agreement and not to any particular part, section or other portion hereof and include any agreement supplemental hereto. Unless something in the subject matter or context is inconsistent therewith, references herein to parts and sections, are to parts and sections of this Agreement.

1.1.8 **Schedules**. The following attached schedules are hereby incorporated by reference into, and shall form part of, this Agreement ("**Schedules**"):

Schedule A – Interpretation Provisions
Schedule B - Services
Schedule C - Principles Used to Calculate the Service Fees

1.2 Definitions

In this Agreement, including the Schedules hereto, unless there is something in the subject matter or context inconsistent therewith or unless otherwise specifically provided herein, the following terms shall have the meanings set forth below:

1.2.1 "**Affiliate**" shall have the meaning ascribed to that word in the Canada Business Corporations Act, R.S.C. 1985, c. C-44 (as amended);

1.2.2 "**Agreement**" means this main body of agreement, and all other documents and agreements incorporated by reference to form a part hereof, including all Schedules and amendments hereto;

1.2.3 "**Applicable Law**" means any applicable:

(a) statute or proclamation or any delegated or subordinate legislation including Laws in any jurisdiction where any Services are performed;

(b) any Authority Requirement; and,

(c) any judgment, order, ruling or decree of a relevant court of law, board, arbitrator, or administrative agency (in any jurisdiction) that has competent jurisdiction over the parties and/or this Agreement

1.2.4 "**Authority Requirements**" means any authorization, consent, approval, license requirement, order, judgment, pronouncement, decision, direction, directive, request for information, policy, administrative interpretation, guideline, quality standards, or ruling (and all related conditions and stipulations) issued by any Governmental Authority;

1.2.5 "**Business Day**" means every day other than Saturdays, Sundays and any statutory or civic holidays observed in the Province of Ontario, Canada;

1.2.6 "**Data Protection Legislation**" means the applicable legislation if any jurisdiction (whether national, provincial, state or otherwise) that, during the Term, has a substantial connection to the Services and that deals with data protection or privacy, including any information about an identifiable individual, which shall include the *Personal Information Protection and Electronic Documents Act* (Canada);

1.2.7 "**Dedicated**" means, with respect to any employee or item of software or equipment referred to in section 2.6 hereof, the allocation of seventy-five percent (75%) or more of the available time or capacity of such employee or item of software or equipment to support the provision of Services to CBY or with respect to services under a third party contract, the allocation of seventy-five percent (75%) or more of such service or the benefits thereof to support the provision of Services to CBY.

1.2.8 "**Dedicated Employees**" shall have the meaning ascribed to it in section 2.6.1 hereof;

1.2.9 "**Effective Date**" shall mean the effective date of this Agreement as first set out in this Agreement;

1.2.10 "**Governmental Authority**" means any federal, provincial, state, territorial, regional, municipal or local government or governmental authority, quasi-governmental authority, court, government or self-regulatory organization, commission, board, tribunal, organization, or any regulatory, administrative or other agency, or any political or other subdivision, department, or branch of any of the foregoing, having competent legal jurisdiction in any way over the parties or this Agreement, or any other aspect of the performance of this Agreement; and,

1.2.11 "**Laws**" means all federal, provincial, state, local and municipal statutes, laws, by-laws, rules, codes, standards, guidelines, directives, ordinances, and regulations in effect from time to time and made or issued by a Governmental Authority.

SCHEDULE B

SERVICES

The following sets forth the general nature of services that may be provided by MLF to CBY from time to time. A detailed list of services that MLF will provide to CBY in each fiscal year will be reflected in the CBY Annual Budget determined in accordance with Article 4 of the Agreement. Fees to be charged in respect of the applicable services provided in each fiscal year will be determined in accordance with the principles set forth in Sections 2, 3 and 4 of Schedule C to the Agreement and will be reflected in the CBY Annual Budget determined in accordance with Article 4 of the Agreement.

1. **Treasury Services**

    a. Debt Management

        i. Monitor, forecast and estimate CBY's long term financing requirements.

        ii. Negotiate, arrange and implement all necessary credit facilities for CBY.

        iii. Carry out all administrative activities in connection therewith.

    b. Cash Management

        i. Maintain all cash management systems for CBY.

2. **Accounting Services and Financial Reporting**

    a. Accounting Systems

        i. Maintain and support financial reporting systems.

    b. Accounting Standards and Advice

        i. Provide advice in respect of specific transactions undertaken by CBY.

        ii. Provide advice and support in respect of accounting standards.

    c. Internal Controls

        i. Prepare, monitor, test and oversee internal control over financial reporting and disclosure controls and procedures.

    d. Financial Reporting

        i. Prepare annual and quarterly financial reporting.

        ii. Prepare annual budget.

iii. Facilitate and prepare analysis and documentation to support audits and reviews by CBY's external auditor.

3. Risk Management Services

a. Foreign Exchange Risk

i. Monitor CBY's exposure to foreign currency exchange risk and advise and execute on appropriate hedging strategies.

b. Interest Rate Risk

i. Monitor CBY's exposure to interest rate risk and advise and execute on appropriate hedging strategies.

c. Commodity Price Risk

i. Monitor CBY's exposure to commodity price risk and advise and execute on appropriate hedging strategies.

d. Energy

i. Monitor CBY's energy requirements and related price risk and execute on appropriate procurement and hedging strategies.

4. Human Resources

a. Labour Relations

i. Advise with respect to labour relations, occupational health & safety matters, compensation and benefits.

b. Employee Development

i. Develop and maintain leadership development programs and source external development programs, as needed.

5. Pension and Benefit Plan Services

a. Pension Plans

i. Manage and administer all of CBY's pension plans including the investment of pension fund assets.

b. Benefit Plans

i. Manage and administer all of CBY's employee benefit plans.

6. Public and Investor Relations

a. Communications with External Stakeholders

i. Prepare and manage all external communications for CBY including news releases, investor presentations etc.

b. Communications with Internal Stakeholders

i. Prepare and manage all internal and day-to-day communications with employees and other internal stakeholders.

7. Corporate Secretary Services

a. Regulatory Filings

i. Prepare and manage all securities law/corporate law/regulatory/TSX listing filings for CBY.

b. Corporate Reorganizations

i. Plan and execute on all corporate reorganizations involving CBY and its subsidiaries.

c. Minute Book Maintenance

i. Maintain minute books for CBY and all of its Canadian subsidiaries including related corporate secretary services and arrange secretarial services for foreign subsidiaries.

8. Taxation Services

a. Tax Compliance

i. Prepare all necessary tax returns for CBY and its subsidiaries in all relevant jurisdictions.

ii. Engage outside advisors to advise with respect to tax compliance, as needed.

b. Tax Planning

i. Conduct tax planning analysis for CBY and its subsidiaries on an ongoing basis.

ii. Recommend and implement corporate reorganizations, as needed, to achieve tax planning objectives.

9. Insurance Services

a. Insurance

i. Organize and implement necessary insurance coverage for CBY and its subsidiaries.

b. Claims Management

i. Manage all outstanding insurance claims for CBY and its subsidiaries.

10. Legal Matters

a. Legal Support

i. Provide and coordinate legal support, as needed including litigation support in respect of outstanding claims.

11. Mergers, Acquisitions and Divestitures

a. Analysis

i. Analyze and recommend potential strategic acquisitions and divestitures.

ii. Undertake necessary financial and operational analysis of potential transactions.

iii. Complete due diligence investigations and engage outside advisors, as needed in respect of potential transactions.

b. Negotiation

i. Negotiate acquisition and divestiture transactions and manage transaction process.

c. Post-Closing

i. Complete post-closing price adjustments and monitor and manage potential representation and warranty breaches and indemnity claims.

12. Internal Audit

a. Audit Plan

i. Create and execute on annual internal audit plan.

ii. Independently test internal controls over financial reporting and disclosure controls and procedures on an annual basis.

b. Recommendations and Procedures

i. Implement internal audit recommendations and plans.

ii. Administer whistleblower procedures.

c. Fraud Detection

i. Conduct material fraud risk assessments.

ii. Conduct fraud investigations, as needed.

iii. Implement measures to prevent fraud.

13. Sales Training

a. General

i. Provide sales training services.

14. Corporate Logistics

a. Logistics

i. Provide support and strategic advice on logistics initiatives.

b. Customs Clearance

i. Provide customs clearance services to CBY.

15. Corporate Manufacturing

a. Training

i. Provide manufacturing training services.

ii. Advise on application of manufacturing best practices and technology.

b. Strategy

i. Develop and maintain manufacturing strategies for CBY.

16. Food Safety and Quality

a. Training and Best Practices

i. Ensure implementation of food safety and quality best practices at CBY.

ii. Coordinate and provide training in respect of food safety education.

b. Audit

i. Provide internal audit services to CBY in respect of food safety and quality.

ii. Coordinate third party audits, as needed.

c. Reporting

i. Provide regular reporting to CBY management on food safety and quality matters.

17. Government Relations

a. Government Policy and Regulation

i. Support CBY on all regulatory and policy issues.

ii. Ensure compliance by CBY with all applicable regulatory requirements.

b. Government Permits

i. Identify and negotiate all applicable governmental approvals for CBY operations.

c. Industry Associations

i. Represent CBY in relevant industry associations.

18. Engineering and Environmental Services

a. Engineering

i. Oversee, monitor and manage capital projects and design of capital projects, as needed.

b. Environmental

i. Oversee, monitor and manage environmental management system for CBY.

ii. Oversee, monitor and manage environmental regulatory matters for CBY.

19. Strategy Development and Analysis

a. Support and Leadership

i. Provide analytical support and process leadership for CBY strategy development including internal and external analysis, competitive

assessment, execution planning, organizational alignment and strategy communication

ii. Provide analytical support and project leadership on strategic profit improvement initiatives

20. Information Services

a. Data Management

i. Provide and manage centralized data centre for CBY.

21. Marketing Services

a. General Marketing

i. Provide services concerning packaging, graphics and French translation.

b. Corporate Marketing

i. Provide strategic marketing advice and training.

ii. Provide strategic product development assistance.

c. Digital Media

i. Maintain website, manage social media presence and identify and plan alternative digital marketing campaigns.

d. Advertising

i. Coordinate and manage advertising including media planning.

22. Consumer Affairs

a. General

i. Manage the overall relationship between CBY and its consumers.

b. Consumer Complaints

i. Coordinate and oversee consumer hot line and web site.

ii. Respond to consumer inquiries and complaints.

c. Trend Analysis

i. Manage consumer trend analysis.

23. Thinkfood! Centre

a. General

i. Maintain CBY portion of Thinkfood! Centre.

24. Six Sigma Services

a. General

i. Provide resources, people and support in respect of Six Sigma.

25. Purchasing

a. Sourcing and Supply Management

i. Provide procurement services including identification of suppliers, creation of the commercial agreements, contract compliance monitoring, market analysis, forward pricing and hedging for commodities for

1. Direct Materials, including, ingredients, packaging and co-manufactured items.

2. Indirect Goods and Services including maintenance, repair and operating supplies (MRO), plant services, IS software, hardware and services, marketing services, freight and warehousing, and capital equipment spending.

ii. Maintain group purchasing arrangements for all Maple Leaf Foods units including CBY to leverage buying scale.

b. Project Management

i. Project management for new product introductions, discontinuations, product or service changes and material management decisions.

SCHEDULE C

PRINCIPLES USED TO CALCULATE THE SERVICE FEES

The following sets forth the principles upon which the Service Fees shall be calculated to be included in the CBY Annual Budget in respect of any fiscal year.

1. MLF shall analyze and define the services and functions it provides to all of its business units (the "**BUs**") including CBY to determine:

    a. The overall cost it incurs in to provide those services and functions as well as the cost it incurs for each service or function; and

    b. Whether the cost of the particular service or function is reasonably capable of being allocated on a specific cost allocation basis (i.e., time spent, resources expended, materials consumed, etc.) to its BUs, and if so determine the expected usage by each operating BU including CBY.

2. To the extent the cost of the particular Service is reasonably capable of being allocated by MLF to CBY by some specific cost allocation basis as outlined above, the amount of the fee (i.e., the allocated cost) to be charged by MLF to CBY for the particular Service shall be determined by such specific cost allocation and shall be reflected in the CBY Annual Budget in respect of any fiscal year. Any such fees that are charged (i.e., the costs that are specifically allocated) in this manner shall be allocated to CBY at the cost of such Service to MLF with no mark-up or profit component (the "**Allocated Service Fee Component**").

3. In respect of Services that are not reasonably capable of being allocated to CBY by some specific cost allocation method, a fee as determined below shall be charged by MLF to CBY and shall be reflected in the CBY Annual Budget (the "**General Service Fee Component**").

4. The General Service Fee Component is determined by multiplying (i) the CBY Net Asset Value Percentage (as defined below) by (ii) an agreed upon percentage of the General Corporate Costs (as agreed to by CBY in the CBY Annual Budget) that represents that portion of the General Corporate Costs that are reasonably allocable to all BUs.

5. For purposes of considering the reasonableness of the CBY Net Asset Value Percentage as of a particular reference date or reference period, the audit committee of CBY shall review the CBY Sales Percentage and CBY Headcount Percentage calculated as of the same reference date or reference period, as applicable, and MLF shall provide information on those metrics to the audit committee of CBY along with each proposal of Service Fees.

6. The Allocated Service Fee Component and the General Service Fee Component shall together constitute the Service Fees that are reflected in the CBY Annual Budget in

respect of a fiscal year and payable by CBY to MLF for the Services. Service Fees shall contain no duplication of charges.

7. At the end of any fiscal year, the actual amount of the Allocated Service Fee Component shall be determined and compared to the amount estimated in the CBY Annual Budget in respect of that fiscal year. To the extent the actual amount is greater than the budgeted amount, CBY shall pay to MLF only the amount estimated in the CBY Annual Budget in respect of that fiscal year.

8. For purposes of this Schedule C, the following terms have the following meanings:

    a. "**CBY Headcount Percentage**" means the percentage that the number of full time equivalent employees of CBY plus the number of CBY franchisee distributors as of the reference date represents of the number of full time equivalent employees of all MLF BUs plus the number of franchisee distributors of all MLF BUs on a consolidated basis (including that of CBY) as of the reference date.

    b. "**CBY Net Asset Value**" means total assets minus cash and current noninterest bearing liabilities of CBY;

    c. "**CBY Net Asset Value Percentage**" means the percentage that the average CBY Net Asset Value at the start of the fiscal year and at each month end falling within the fiscal year represents of the average Consolidated BU Net Asset Value at the start of the fiscal year and at each month end falling within the fiscal year.

    d. "**CBY Sales Percentage**" means the percentage that the total sales of CBY for the relevant period represents of the total sales of all MLF BUs on a consolidated basis (including CBY) for the same period.

    e. "**Consolidated BU Net Asset Value**" means total assets minus cash and current noninterest bearing liabilities of all MLF business units including the corporate office.

    f. "**General Corporate Costs**" means an amount equal to the total cost MLF incurs for administration excluding the costs that are specifically allocated to its operating business units (including to CBY) by some specific cost allocation method.